The government moved over to the new policy of real strategic disinvestment. On 20 November 2019, the Cabinet approved the strategic sale of three major companies: BPCL, SCI and CONCOR. The entire government stake (53.29 per cent) in BPCL, a 63.75 per cent stake in SCI and 30.8 per cent out of a 54.8 per cent stake in CONCOR were decided to be sold to a 'strategic buyer'. These transactions would have been the first real stake sales after 2003–04.

These stake sales, if carried out, could have provided the government, at market valuation prevailing in November–December 2019, about Rs 55,000 crore from BPCL, about Rs 1850 crore from SCI and about Rs 5000 crore from CONCOR, in all about Rs 62,000 crore. It was reasonable to expect a control premium of 20–25 per cent, which could have brought additional Rs 13,000–14,000 crore, in all generating about Rs 75,000 crore.

Unfortunately, the government could not deliver on these stake sales for various reasons. It had not carried out a genuine strategic sale in the previous fifteen years. The administrative ministries and departments are not genuinely on board. The process of selling is tedious and time-consuming. Numerous valuation and other issues put the transactions off track.

2020–21: Government Fixes Sky-High Targets in Budget; Revises Downward in RE

The government fixed the non-tax revenue income target at Rs 3.85 lakh crore for financial year 2020–21. It also fixed a target of Rs 2.10 lakh crore for disinvestment capital receipts. These targets were extraordinary for disinvestment revenues considering the fact that the government was struggling to meet even half the target of Rs 1.05 lakh crore for financial year 2019–20 at the time of presenting the 2020–21 Budget.

For non-tax revenues, the government had hiked the target of other non-tax revenues (revenues from concessioning natural resources, imposing